

on evaluation may be explained in terms of its effect on the salience of arguments for each side of the choice.

Baron and Hershey's results suggest that subjects suffer from outcome bias. Investors are not immune to this behavior. For example, when investors who are susceptible to outcome bias make mutual fund investments, they may be doing so because they are focused on the outcome of a past investment experience related to this decision—such as their manager's track record or the asset class performance of that particular investment—and are not focused on *how* the returns were generated or why they should be investing in that asset class. On the contrary, when investors who are not susceptible to outcome bias make investments, they may not make an investment with that manager or asset class (well, they might, but for different reasons) because they may see that the manager took too much risk to obtain a given set of returns or the asset class is overvalued and should be avoided. Investors subject to outcome bias are not focusing on the process, but rather the result—and this can be dangerous.

Implications for Investors

Irrationally attributing successes and failures can impair investors in two primary ways. First, people who aren't able to perceive the mistakes that they have made are, consequently, unable to learn from those mistakes. Secondly, investors who disproportionately credit themselves when desirable outcomes do arise can become detrimentally overconfident in their own market savvy. The following points describe the pitfalls of self-serving behavior that can often lead to financial losses:

1. Investors may invest in funds that they should not because they are focused on the outcome of a prior action, such as the performance record of the manager, rather than on the process by which the manager achieved the results. This may cause investors to subject themselves to excessive risk if the source of the performance was a risky strategy.
2. Investors may avoid investing in funds that they should not because they are focused on the outcome of a prior action, such as the performance record of the manager, rather than on the process by which the manager achieved the results. Investors may avoid a manager based on a bad outcome while ignoring the potentially sound process by which the manager made the decision.
3. Investors may invest in overvalued asset classes based on recent outcomes, such as strong performance in gold or housing prices, and not pay heed to valuations or past price history of the asset class in question, thereby exposing them to the risk that the asset class may be peaking, which can be "hazardous to one's wealth."